



## CHAPTER xlix.

An Act to allow of agreements between the South Metropolitan Gas Company and other gas undertakers for mutual assistance and for other purposes. A.D. 1925.  
[31st July 1925.]

**W**HEREAS the South Metropolitan Gas Company (in this Act called "the Company") were incorporated by an Act passed in the year one thousand eight hundred and forty-two and under the provisions of that Act and Acts subsequently passed and schemes of amalgamation confirmed by Orders in Council carry on a large industrial undertaking supplying gas within a large area containing upwards of one and a half million inhabitants in the counties of London Surrey and Kent :

And whereas by the South Metropolitan Gas Act 1920 the Company were authorised to supply gas in bulk to (inter alia) any company authorised to supply gas under parliamentary powers in any district adjacent to the limits of supply of the Company and subject as therein mentioned to amalgamate their undertaking with or to purchase any undertaking for the supply of gas in any limits of supply which adjoin or are contiguous to those of the Company :

And whereas the Company have for many years maintained premises and an organisation at Newcastle-upon-Tyne for the purchase of coal and a fleet of steamers for the conveyance thereof from Newcastle to London in order to purchase and convey the same as cheaply as possible and have maintained laboratories and other



A.D. 1925. — works for and a staff engaged in scientific research in relation to coal and residual products obtainable in the manufacture of gas and the disposal to the best advantage of such residual products :

And whereas the price of the gas supplied by the Company has for many years past been the lowest of the prices of the three large metropolitan gas companies and the said resources of the Company have formed a large element in enabling the Company to sell at such low price :

And whereas it would be of public advantage and tend to the reduction of the price of gas if provision were made whereby such facilities organisations and advantages as the Company have provided as aforesaid or may hereafter provide could be made available for the benefit of any company to which the Company may from time to time be authorised to supply gas or with which the Company may from time to time be authorised to amalgamate as aforesaid and it is expedient that the Company and any such company should be empowered to enter into and carry out agreements in relation to the provision or the enjoyment of or the participation in the benefits of such facilities organisations or advantages as is in this Act hereinafter provided for :

And whereas it is expedient that other powers in this Act mentioned should be conferred upon the Company and that such other provisions should be made as are in this Act contained :

And whereas the objects aforesaid cannot be attained without the authority of Parliament :

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows (that is to say) :—

Short title.

1. This Act may be cited as the South Metropolitan Gas Act 1925.

Agreements between Company and other gas companies.

2. The Company and any company authorised to supply gas under parliamentary powers in any district adjacent to the present limits of the Company for the supply of gas may with the approval of the Board of Trade to be signified in writing under the hand of the secretary or an assistant secretary of the said Board



enter into and carry into effect any agreement with each other in regard to all or any of the following purposes :— A.D. 1925.

The use or the participation in the use of or in any benefit of any premises plant organisation operations or other facilities belonging to enjoyed by carried on or provided wholly or partly by the Company in relation to the manufacture and sale of gas or products arising in such manufacture or the provision of any such facilities ;

The purchase transport landing and delivery of coal and the despatch or disposal of residual products arising in the manufacture of gas ;

The carrying out of scientific research in relation to coal and such residual products as aforesaid ;

The extension provision maintenance or use of any laboratories and apparatus for such research and the use or benefit of any results or discoveries arising thereby ;

The provision of any buildings works or plant for the purpose of enabling either party to such agreement to give a supply of gas in bulk to the other of them ;

The provision of moneys for carrying into effect any such agreement ; and

Any matters or things incidental to or connected with any of the purposes aforesaid.

Except in so far as is provided by this section the Company and any company entering into any such agreement shall remain and be subject to all and the same obligations and liabilities to all persons not being parties to any such agreement as they would have been subject to if such agreement had not been entered into.

The Company and any company when submitting to the Board of Trade any proposals for an agreement under this section shall furnish particulars of such proposals to the London County Council who shall be entitled to make representations to and be heard by the said Board thereon before the agreement embodying such proposals is approved by the said Board.

If the undertaking of any company being a party to any such agreement is wholly or partly outside the county of London such agreement shall also be submitted to the council of any county or county borough within which any part of such undertaking is situate and any



A.D. 1925. — such council shall be entitled to make representations to and be heard by the said Board thereon before the agreement embodying such proposals is approved by the said Board.

Nothing contained in this section shall empower the Company or any such company as aforesaid to work up and convert residual products arising from the manufacture of gas except in accordance with the provisions of and subject to the restrictions imposed by the Acts or Orders by which the Company or such other company are authorised to work up and convert residual products.

Agreements  
for use of  
Company's  
landing  
stage.

3. The Company and any company with whom the Company are authorised to enter into agreements under the foregoing provisions of this Act may enter into and carry into effect agreements for the use of the landing stage of the Company at East Greenwich and any conveniences or services afforded by the Company thereat and any other matters incidental to or necessary for the operations of such company as a gas company.

Securities  
may be  
taken as  
considera-  
tion.

4. Any agreement entered into under the foregoing provisions of this Act may provide that any consideration being in the nature of a capital payment and payable thereunder by either of the parties thereto to the other of them may be satisfied wholly or in part by the allotment of such shares or stock in the capital of the company from whom such consideration is due or such debentures or debenture stock of such company as shall be agreed upon between such parties or partly by the one and partly the other of such modes as may be so agreed and thereupon it shall be lawful for either of such parties to issue such shares stock or debentures or debenture stock accordingly and all shares or stock so issued shall for all purposes be deemed fully paid up :

Provided that in estimating the extent to which any such consideration is satisfied by any shares or stock issued under the provisions of this section such shares or stock shall be taken at the average price at which according to the books of the company issuing the same sales of similar shares or stock were effected within the period of six months immediately preceding the issue thereof or if there has been only one sale or no sale of similar shares or stock within the said period then at the price at which the last sale of similar shares or stock was effected making



due allowance in each case for any enhancement of value by reason of any accrued dividend. A.D. 1925.

The price at which such shares or stock are or is to be issued shall be determined by the company issuing the same in accordance with the provisions of this section.

5.—(1) The directors of the Company may at any time appoint any person being a director of any company which has entered into an agreement with the Company under this Act to be a director of the Company and for such purpose the number of the directors of the Company limited by section 16 of the scheme amalgamating the Company with the Surrey Consumers' Gas Company confirmed by Order in Council of the twenty-eighth day of October one thousand eight hundred and seventy-nine may be increased by such number being not more than three as is necessary to allow of such appointment. Additional directors in certain cases.

Any such increase if made may continue in force so long as the person in respect of whom it is made is in office as a director by virtue of the provisions of this section but no longer and in no event shall there be at the same time more than three persons holding office as directors under such provisions and no person shall hold such office thereunder except during the continuance of such agreement.

(2) If and so long as any person or persons is or are holding office as a director or directors of the Company by virtue of the provisions of this section the remuneration of the directors of the Company limited by section 21 of the South Metropolitan Gas Act 1902 shall be deemed to be increased in the proportion by which the number of the directors appointed by virtue of such provisions bears to the number of directors limited by the said section 16 of the said scheme.

(3) No person shall be appointed a director by virtue of the provisions of this section unless he has the qualification prescribed by section 2 of the South Metropolitan Gas Act 1897 but the provisions of section 16 of the South Metropolitan Gas Act 1921 shall not apply to any such person.

6. In any case in which the Company and any other company have entered into any agreement authorised by this Act the Company may effect exchanges of stock or securities of the Company with proprietors of stock shares or securities of such other company or may lend money Loans to other companies and exchange of securities.



A.D. 1925. to such other company to such extent as in the opinion of the directors of such other company will be of advantage for furthering the purposes of such agreement including reduction in the price of gas.

As to certain compensation on amalgamation of companies.

7. Any scheme for any such amalgamation or purchase as is referred to in section 37 of the South Metropolitan Gas Act 1920 may provide for compensation to directors of any company or to auditors officers or servants of any company retiring or suffering loss of employment or emoluments on or by reason or in consequence of any such amalgamation or purchase and as to the manner in which or the company by which any such compensation or any part thereof shall be borne.

As to amalgamations outside metropolis.

8.—(1) The Company shall give notice of the submission to the Board of Trade of any scheme for any such amalgamation or purchase as is referred to in section 64 of the South Metropolitan Gaslight and Coke Company's Act 1876 or section 37 of the South Metropolitan Gas Act 1920 which relates to the purchase or amalgamation of the undertaking of any company supplying gas in any limits of supply outside the metropolis by advertisement in a newspaper or newspapers published in each county in which any part of any undertaking to be amalgamated or purchased thereby is situate.

(2) Copies of such notice and scheme shall be delivered to the council of any administrative county and to the mayor aldermen and burgesses of any county borough in which any part of such undertaking as is referred to in subsection (1) of this section is situate and the Board of Trade shall receive any representations made to them by such council or mayor aldermen and burgesses as the case may be.

(3) Nothing in this section shall derogate from any provisions of sections 18 and 19 of the City of London Gas Act 1868 or either of those sections.

Company may contract for supply and purchase in bulk.

9. The Company may contract with any local authority company or persons authorised to supply gas under parliamentary powers in any district adjacent to the limits of the Company for the supply of gas for the supply by the Company to them or for the supply to the Company by them of gas in bulk upon such terms and conditions as may be agreed upon but nothing in this



section shall authorise the Company to lay any mains or interfere with any street beyond the limits of the Company for the supply of gas. A.D. 1925.  
—

10. For the protection of the Port of London Authority (in this section called "the port authority") the following provisions shall unless otherwise agreed between the Company and the port authority apply and have effect (that is to say):— For protec-  
tion of Port  
of London  
Authority.

- (1) In this section "river accommodation" means any dock basin pier jetty wharf quay embankment landing place stage crane mooring chain or any other work or convenience erected made or maintained by the Company in the River Thames or in or upon the bed or shores thereof and under the authority of a licence or permission granted by the port authority or their predecessors :
- (2) Nothing in this Act or in any agreement entered into thereunder shall be deemed to take away limit alter or prejudicially affect any right power authority jurisdiction or privilege of the port authority or permit the Company or any other company to use the landing stage of the Company at East Greenwich or any other river accommodation in contravention of the terms of any licence or permission granted by the port authority or their predecessors and relating to such river accommodation or in contravention of any provisions of any Act relating to the port authority or for any purposes other than the operations of the Company or such other company as gas companies :
- (3) Whenever the Company enter into any agreement under this Act with any other company relating to the use of any such river accommodation the consideration payable or paid to the port authority or their predecessors for any such licence or permission as aforesaid whether as an annual rent or as a sum in gross or partly as an annual rent and partly as a sum in gross shall if the port authority so require be re-assessed in accordance with the provisions of section 254 of the Port of London (Consolidation) Act 1920.



A.D. 1925.

—  
Promotion  
by Com-  
pany of  
future Bill.

**11.**—(1) The Company shall not later than in the session nineteen hundred and thirty-five promote a Bill in Parliament giving an opportunity for the amount of the basic price prescribed by the South Metropolitan Gas Act 1920 to be revised by such Bill.

(2) The London County Council and the council of any metropolitan borough or urban district within or partly within the limits of supply of the Company shall (subject to their complying with any relevant statutory requirements and standing orders of Parliament) be entitled to be heard before the Committee to which any Bill promoted for the purpose aforesaid shall be referred as to whether the amount of the basic price prescribed by the said Act of 1920 should be revised by such Bill and if so to what extent.

Costs of  
Act.

**12.** All costs charges and expenses of and incident to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company.

---

Printed by EYRE and SPOTTISWOODE, LTD.,

FOR

WILLIAM RICHARD CODLING, Esq., C.V.O., C.B.E., the King's Printer of  
Acts of Parliament.

---

To be purchased directly from H.M. STATIONERY OFFICE at the following addresses:  
Adastral House, Kingsway, London, W.C. 2; 28, Abingdon Street, London, S.W. 1;  
York Street, Manchester; 1, St. Andrew's Crescent, Cardiff;  
or 120, George Street, Edinburgh;  
or through any Bookseller.